

Accounts Payable

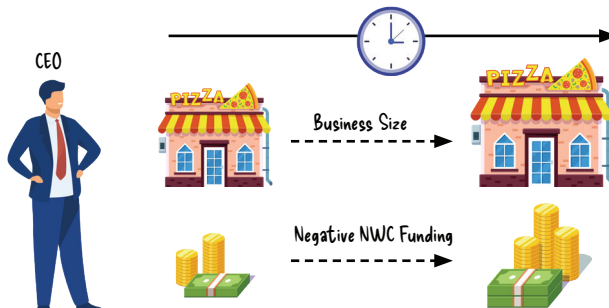
With accounts payable, a supplier offers goods or provides capital on credit, which the business can use and keep the benefits. So, it can be classified as a liability as it is an external capital.

However, in essence, the company gets to keep the capital. They do not have to take any additional liability or put in additional equity. The company simply gets the capital from the external supplier, and the money can be used to fund its working capital.



Many companies in the market have negative working capital. For instance, retail companies get to buy credit from the market i.e. Accounts Payable but they sell cash to their end customer. As a result, they are able to finance most of their business through Accounts Payable.

All the international grocery chains and other companies like Amazon can work using negative working capital. This is because they have accounts payable at their disposal. They can use the supplier's credit and use that capital to run and grow their business.



Negative Working Capital

One thing that we need to keep in mind is that one time items cannot be considered as float. For example, if the company buys machinery on credit that it needs to pay in three months, it is not float. If something is recurring, only then can it be counted as float. For instance, if the company has advances from customers, they must have regular advances from customers. That way the company can pay the old advances from the new advances it receives and the float remains with the company.